

Tuticorin International Container Terminal Private Limited

September 05, 2024

Facilities/Instruments	Amount (₹ crore)	Rating ¹	Rating Action
Long Term Bank Facilities	482.41	CARE A (RWD)	Placed on Rating Watch with Developing Implications
Short Term Bank Facilities	35.00	CARE A1 (RWD)	Placed on Rating Watch with Developing Implications

Details of facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) placed ratings of Tuticorin International Container Terminal Private Limited (TICTPL) on "Credit watch with developing implications" considering a filing of composite scheme of demerger ("**Scheme**") with National Company Law Tribunal, Mumbai ("**NCLT**") by its parent entity J M Baxi Ports and Logistics Private Limited (JMBPL; rated CARE A+ (RWD) / CARE A1 (RWD)) dated August 22, 2024. The transaction is subject to completion of certain corporate and regulatory approvals applicable for respective assets. The scheme has been filed in furtherance to certain transaction documents that JMBPL has executed with Hapag Lloyd Terminal Holding B.V. ("**HLTH**") (part of Hapag Lloyd Group (HLTH group)) for consummating a series of steps pursuant to which, HLTH becomes a shareholder of JMBPL.

As per the scheme, JMBPL proposes to demerge its container businesses (comprising container terminals, container train operations, Inland container depot [ICD], Container Freight Station [CFS] and related services) into a new entity i.e. J M Baxi Container Holdings Private Limited (JM Baxi Container, Resulting Company 1) and its corporate services division into another entity i.e. J M Baxi Port Services Private Limited (JM Baxi Port Services, Resulting Company 2) while retaining its other non-container businesses (comprising bulk terminal, cold chain, cruise terminal and services) into JMBPL itself. HLTH had acquired 40% shareholding in JMBPL during FY24. Pursuant to the Scheme and the transaction documents executed amongst JMBPL and HLTH, it is intended that (a) the Kotak Family (Promoters) and HLTH will hold 51 percent and 49 percent shareholding in JMBPL, (b) Promoters and HLTH will hold 50 percent shareholding, each in JM Baxi Port Services, and (c) Promoters and HLTH will hold 49 percent and 51 percent shareholding in JM Baxi Container.

The scheme also proposes the continued extension of support structures by JMBPL along with support to be extended by in JM Baxi Container towards the existing lending arrangements of the group entities for a duration of three years from its date of effectiveness. The exact implications of the above scheme on the risk profile and financial position of JMBPL and the demerged entities remains unclear. CARE Ratings shall be monitoring the developments in this regard and take a view once more clarity emerges.

The ratings of bank facilities of TICTPL considers strong promoter group with extensive experience and track record of its parent JMBPL (rated 'CARE A+ (RWD) / CARE A1 (RWD)') in maritime sector and the resultant synergies from business linkages with shared infrastructure, common treasury function, management and financial support. JMBPL has also extended a sponsor support undertakings to support the project during construction, meet any shortfall in creation & maintenance of debt service reserve account (DSRA) and termination payment.

The ratings also derive strength from long-term concession agreement (CA) with Board of Authority for V.O. Chidambaranar Port (VOC) for 30 years (including the construction period of 21 months), long tenor of debt and tail period which support the debt coverage indicators. Furthermore, as per the sanctioned terms, there is cash trap and restricted payment covenants with requirement of minimum debt-service coverage ratio (DSCR) of 1.50x. TICTPL will also derive benefit from strategic location of the port, presence of tariff autonomy as per the Major Port Authorities Act 2021 and favourable industry outlook.

However, the rating strengths are tempered by the inherent project execution risk, revenue volatility risk with presence of relatively higher minimum guaranteed throughput (MGT) clauses with VOC, high susceptibility to economic cycles and competition from the existing container terminals at VOC and existing/upcoming container terminals at nearby ports on the southern coast of India. However, the risk is partly offset by relatively simple nature of the project with strong execution track record of the promoter group and synergies expected from the JM Baxi group.

¹Complete definition of the ratings assigned are available at www.careedge.in and other CARE Ratings Ltd.'s publications

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Completion of project prior to the envisaged timelines and capacity utilization of the terminal ramping-up to 85%.

Negative factors

- Significant cost and/or time overrun in the project
- Non-achievement of the envisaged scale of operations and profitability due to slower ramp-up of the container volumes thereby impacting DSCR
- Any significant deterioration in the credit profile of the parent company (at group level) i.e. JMBPL

Analytical approach: Standalone while factoring in the financial and operational linkages with the parent company i.e. JMBPL

Outlook: Not Applicable

Detailed description of the key rating drivers:

Key strengths

Strong promoter group with business synergies:

TICTPL is a wholly owned subsidiary of JMBPL (rated CARE A+ (RWD) / CARE A1 (RWD)) the flagship entity of J M Baxi group, which has an established presence in the Indian maritime sector with more than 100 years of experience and a diversified business profile with interests in shipping agency services, supply chain storage & offshore services, project logistics, freight forwarding, port infrastructure, container & cargo terminal business and digital technologies. The group has demonstrated strong execution capabilities of port infrastructure assets and established track record of operations in various fields of maritime industry. By virtue of parent-subsidiary relationship, JMBPL provides management and operational support to TICTPL. JMBPL has also extended sponsor support undertakings to support the project during construction, meet any shortfall in creation & maintenance of debt service reserve account (DSRA) and termination payment.

The promoters, Mr Krishna Kotak and Mr Dhruv Kotak, have over three decades of vast experience in the industry and have spearheaded the group's diversification and expansion from shipping agency service in early 1900s to one of India's largest maritime conglomerates.

In April 2023, HLTH acquired a 40% stake in JMBPL. HLTH is one of the leading global container shipping companies and this strategic acquisition is expected to result in operational synergies for JMBPL's existing terminals and newly awarded terminals. The comfortable financial and credit profile of HLTH also strengthened financial flexibility for the group. For CY23, revenue and profit after taxes (PAT) of HLTH was €17,929 million and €2,951 million respectively with net worth of €18,767 million as on December 31, 2023.

Favourable location and established hinterland:

TICTPL is setting-up a container terminal at VOC (major port) which is an artificial, all-weather port on the south-eastern coast of India in Tuticorin, Tamil Nadu. VOC is well sheltered from storms and cyclonic winds making it a safe port with no tidal restrictions even during monsoon. Currently, VOC has maximum draft of 14.20 metres which facilitates handling of Neo-Panamax-sized vessels up to 1.80 lakh DWT, however, it also limits its ability to handle large-sized vessels.

VOC is strategically located at the East-West International Sea route in the Gulf of Mannar with Sri Lanka on the south-east side and caters to south-eastern hinterland of India. VOC majorly caters to hinterland of Tamil Nadu which stretches in the west to Tirunelveli and beyond, Madurai in the northern region and Chennai in the eastern region which are connected to VOC by national highways, rail network, and airways (Tuticorin Airport is about 30 Km).

Long-term concession and loan tenor leading to comfortable debt coverage metrics:

TICTPL entered into CA with Board of Authority for VOC on September 03, 2022 for a period of 30 years starting from date of award (DOA) i.e. from April 06, 2023 to April 06, 2053 to undertake the conversion of berth no. 9 at VOC to container terminal and operate & maintain the terminal on design, build, finance, operate and transfer (DBFOT) basis. As per the CA, TICTPL has payments in terms of royalty on cargo handled, annual license fee and upfront fee payment to VOC (already paid prior to signing of the concession agreement). There is tariff autonomy as per the Major Port Authorities Act 2021 and accordingly TICTPL has the rights to fix the tariff based on market conditions.

The long-term concession has been complemented by the long-tenor loan of 20 years [including moratorium period of 1.25 years from commercial operation date (COD)] which is repayable in quarterly structured instalments providing support to the cashflows during the initial years of operation and stabilisation phase leading to comfortable debt coverage metrics. Furthermore, as per the sanctioned terms, there is cash trap and restricted payment covenants with requirement of minimum DSCR of 1.50x. The project has long tail period of 10 years which provides financial flexibility.

Favourable industry outlook:

Overall cargo throughput at Indian ports is at its all-time peak at 1539 MMT for financial year ended March 31, 2024, representing ~7% growth over FY23. With the revival in economic activity, increasing demand and consumption of major commodities and declining shipping freights, the traffic re-gained from FY22 and reported healthy CAGR of 7% for FY21-FY24. Container volumes grew at healthy CAGR of 6% in India from FY20-FY22 indicating strong economic indicator despite COVID-19 related challenges. Container volumes grew at flat 3% in FY23 and witness healthy growth of 10% in FY24 due to strong recovery in EXIM trade despite Red Sea crisis since November 2023. Rising disruption in the Red Sea region have necessitated shipping liners to consider the alternative, longer route past the Cape of Good Hope. This has elongated transit time by 15-20 days and increased the freight cost. However, capacity liners' willingness to increase capacity by earlier fleet renewal orders which will be arriving in FY25 and cascading capacity from other areas will reduce transit time to a minimum. CARE Ratings expects container volume to grow at rate of 8% in FY25 despite risk of prolonged Red Sea turmoil. Going forward, growth in exports volume and stability on geopolitical conditions shall be key monitorable.

Liquidity: Adequate

The liquidity position of TICTPL is adequate as the company does not have any debt obligation over the near term owing to the construction & moratorium period and the long tenor for debt repayment in structured quarterly payments. As per the scheduled project completion date (SPCD), the debt repayment would commence from Q1FY27 and cash accruals projected are expected to adequately meet the debt servicing obligation. Furthermore, TICTPL is required to create and maintain six months' DSRA. Additionally, the liquidity position of TICTPL also derives comfort from strong parentage of JMBPL.

Key weaknesses

Inherent project execution risk:

TICTPL is exposed to the inherent project execution risk involved in conversion of berth no. 9 at VOC to container terminal with handling capacity of 6 lakh TEUs on DBFOT basis. The project will be funded in the debt-to-equity ratio of 70:30. The project risk is mitigated to an extent as the civil cost constitutes only 18% of the project cost while installation of the machinery/equipment constitutes 67% of the project cost. TICTPL has signed a contract with well-known company for supply & installation of three Rail Mounted Quay Cranes (RMQCs) and nine Rubber tyred gantry cranes (RTCGs) and has also made 15% advance payment. The financial closure has been achieved and the debt has been tied-up. CARE Ratings understands that the progress of the project is in line with the scheduled project progress. JMBPL has strong execution track record with successful execution of multiple projects at Kandla, Paradip and expansion at Vizag terminal. However, the project progress as per the envisaged timelines and cost will be important from the credit perspective.

Revenue volatility risk and susceptibility to economic cycles:

As per the CA, TICTPL has payments in terms of royalty based on cargo handled and annual license fee payment to VOC along with MGT specification. TICTPL has to pay the port authority a royalty of ₹1,900.44 per TEU of container handled (escalated based on WPI annually). This apart, an annual license fee of ₹1 is to be paid by the company. As per the Major Port Authorities Act 2021, in case of public private partnership (PPP) projects commence after such act, the concessionaire can fix the tariff based on market conditions and accordingly, TICTPL has the rights to fix the tariff based on market conditions. However, with presence of MGT clauses in the CA (which ramps up gradually from 13% of the capacity in first year to 70% by sixth year), any unprecedented slowdown in the economy, may challenge TICTPL in volatility of the volumes. Also, the port/shipping sector is susceptible to the downturn in the economy as well as local government policies regulating trade. Hence, TICTPL remains exposed to the risks arising out of macroeconomic headwinds along with variations in EXIM trade, which may impact the overall revenue profile and profitability of the company.

Competition from other existing/upcoming container terminals in southern region and existing container terminals at VOC port:

Due to the presence of many major and non-major ports in the southern region of India, TICTPL faces tough competition from other existing as well as upcoming container terminals operators at ports such as Cochin port, Vizhinjam port, Chennai port, New Mangalore port, Ennore port etc. along with other existing container terminal operators at VOC, Tuticorin which is also susceptible to competitive tariffs.

Assumptions/Covenants: Not applicable

Environment, social, and governance (ESG) risks: Not applicable

Applicable criteria
[Definition of Default](#)
[Factoring Linkages Parent Sub JV Group](#)
[Liquidity Analysis of Non-financial sector entities](#)
[Rating Outlook and Rating Watch](#)
[Port & Port services](#)
[Financial Ratios – Non financial Sector](#)
[Infrastructure Sector Ratings](#)
[Short Term Instruments](#)
About the company and industry
Industry classification

Macro Economic Indicator	Sector	Industry	Basic Industry
Services	Services	Transport Infrastructure	Port & Port services

TICTPL was incorporated on August 24, 2022 as a special purpose vehicle (SPV) of JMBPL to undertake the conversion of berth no. 9 to container terminal and operate & maintain the terminal at V.O. Chidambaranar Port (VOC), Tuticorin on DBFOT basis. The concession agreement (CA) between VOC and TICTPL was signed on September 03, 2022 for 30 years (including the construction period of 21 months) starting from date of award (DOA) of concession from April 06, 2023 to April 05, 2053. The project will be funded in debt-to-equity ratio of 70:30. The container terminal will have a handling capacity of 6 lakh TEUs and has scheduled project completion date (SPCD) of January 05, 2025 (21 months from DOA).

Brief financials: Not applicable as project stage entity

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Please refer Annexure-2

Covenants of rated instrument / facility: Detailed explanation of covenants of the rated instruments/facilities is given in Annexure-3

Complexity level of various instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned along with Rating Outlook
Fund-based - LT-Term Loan		-	-	January 2043	432.41	CARE A (RWD)
Non-fund-based - LT-Bank Guarantee		-	-	-	50.00	CARE A (RWD)
Non-fund-based - ST-Credit Exposure Limit		-	-	-	35.00	CARE A1 (RWD)

Annexure-2: Rating history for the last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1	Fund-based - LT-Term Loan	LT	432.41	CARE A (RWD)	-	1)CARE A; Stable (05-Mar-24)	-	-
2	Non-fund-based - LT-Bank Guarantee	LT	50.00	CARE A (RWD)	-	1)CARE A; Stable (05-Mar-24)	-	-
3	Non-fund-based - ST-Credit Exposure Limit	ST	35.00	CARE A1 (RWD)	-	1)CARE A1 (05-Mar-24)	-	-

LT: Long term, ST: Short term

Annexure-3: Detailed explanation of covenants of the rated instruments/facilities: Not applicable**Annexure-4: Complexity level of the various instruments rated**

Sr. No.	Name of the Instrument	Complexity Level
1	Fund-based - LT-Term Loan	Simple
2	Non-fund-based - LT-Bank Guarantee	Simple
3	Non-fund-based - ST-Credit Exposure Limit	Simple

Annexure-5: Lender detailsTo view the lender wise details of bank facilities please [click here](#)

Note on the complexity levels of the rated instruments: CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

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